

than the return earned on the *capital they are investing for their fund shareholders*. This change in the industry's character—from privately owned managers to managers largely owned and controlled by conglomerates—brings into sharp relief the fact that what is good for the fund industry is generally bad for fund shareholders.

Each one of these profound changes has fostered a new and far less lofty mission for the industry. Over the past half-century-plus, the fund business has turned from stewardship to salesmanship, from *managing* assets to *gathering* assets. We have become largely a marketing industry, engaging in a furious orgy of product proliferation. Our apparent motto: "If you will buy it, we will make it."

During the 1950s and 1960s, some 240 new equity funds were formed, and during the 1970s and 1980s, about 650 were formed. But in the 1990s alone, 1,600 new equity funds were created. Most of them, alas, were technology, Internet, and telecommunications funds, and aggressive growth funds focused on these areas. It was such funds, of course, that then took the brunt of the 2000-2002 bear market. Such product proliferation has engendered the expected reaction: Funds are born to die. Whereas 13 percent of all funds failed during the 1950s, the failure rate for the present decade is running at near 60 percent.

Toward a Better World

This combination of asset growth, truncated investment focus, counterproductive investor behavior, real-time portfolio management process, hair-trigger investment strategies, soaring costs, conglomerate ownership, and product proliferation (inevitably followed by deproliferation) has constituted a serious disservice to fund investors.

Simply put, we, the trustees of the investment dollars of American families—pension funds, mutual funds, and other financial institutions—have failed to live up to the faith investors have placed in us. We have become blind to our excessive intermediation costs; deaf to the fact that, given the level of those costs, investment